

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK LLC.
COMPLAINANT,

V.

SHENZHEN UNIFELIX SCM LIMITED
RESPONDENT.

**RESPONDENT SHENZHEN UNIFELIX SCM LIMITED'S EXCEPTIONS TO
THE INITIAL DECISION**

Theodore H. Adkinson
ROBERTS & KEHAGIARAS LLP
100 W. Broadway, Suite 660
Long Beach, CA 90802
E-mail: tha@tradeandcargo.com
Phone: 310-642-9800
Attorneys for Respondent
Shenzhen Unifelix SCM Limited

TABLE OF CONTENTS

I.	INTRODUCTION.....	3
II.	STANDARD OF REVIEW	4
III.	EXCEPTIONS	4
1.	The ALJ improperly considered a memorandum of understanding to be a binding agreement between the parties.....	4
a.	The Transport Contract is not legally binding.....	5
2.	The Initial Decision improperly considers the refusal to adhere to the Delivery and Payment Terms of the TC to constitute breaches of the Shipping Act.	8
3.	The Initial Decision failed to properly weigh the evidence as to the reasonableness of Unifelix’s actions.....	10
IV.	CONCLUSION	12

TABLE OF AUTHORITIES

Cases

<i>Golden Pisces, Inc. v. Fred Wahl Marine Constr.</i> , 495 F.3d 1078, 1081 (9 th Cir. 2007)	5
--	---

Statutes

46 CFR §531.6(a).....	5
46 CFR §531.6(d)(1)	5

Other Authorities

Restatement 2d of Contracts, §7	5
---------------------------------------	---

Pursuant to 46 C.F.R. § 502.227, Respondent, Shenzhen Unifelix SCM Limited (“Unifelix” or “Respondent”), by its respective undersigned counsel, and in compliance with the Revised Scheduling Order, hereby submits its Exceptions to the Initial Decision entered on April 19, 2024, as follows:

I. INTRODUCTION

Unifelix’s arguments against the Initial Decision are that it improperly deems a nonbinding memorandum of understanding to be the primary “agreement” between the parties. The Initial Decision also failed to properly account for Unifelix’s circumstances when evaluating the reasonableness of its actions.

The Initial Decision improperly considers the terms of the document titled the “Transport Contract” to be a binding agreement rather than the memorandum of understanding that it was. This error repeats throughout the Initial Decision, causing problems with various aspects of the ruling.

The reasonableness of Unifelix’s actions should also be judged by a rational analysis of the facts and options available to the parties that were within the bounds of common sense. However, the Initial Decision does not take into account the financial distress that Unifelix was put into by Complainant Way Interglobal Network LLC’s (“Way” or “Complainant”) refusal to pay Unifelix in a reasonably timely manner. This refusal to make timely payment put Unifelix into such financial stress that it was at risk of being unable to continue operations. That refusal also

forced Unifelix to take the actions that are the basis of Way's complaint. To ignore Unifelix's financial position is a failure to view Unifelix's real world lack of options Unifelix actually had available. Reasonableness should be evaluated considering the options that the party could have taken, not what actions that a hypothetical perfectly situated party might have at their disposal.

II. STANDARD OF REVIEW

When the Commission reviews an Initial Decision, it has "all the powers which it would have in making the initial decision." 46 C.F.R. § 502.227(a)(6). The Commission therefore reviews the ALJ's Initial Decision *de novo*.

III. EXCEPTIONS

1. The ALJ improperly considered a memorandum of understanding to be a binding agreement between the parties.

A central pillar upon which the Initial Decision is based is the premise that the shipment terms for the 20 containers at issue in these proceedings were improperly and unreasonably altered after their transit had begun. (*See e.g.* Initial Decision pp. 2, 34, 40 and 43.) The terms that were purportedly altered were 1) Unifelix's refusal to arrange and advance the costs of the ground transportation from the railyard to Way's warehouse in Indiana, and 2) Unifelix's demand for payment of the freight charges prior to the delivery of the cargo rather than seven days after delivery.

a. The Transport Contract is not legally binding.

Those terms requiring delivery at the warehouse and payment seven days after delivery (“Delivery and Payment Terms”) were, however, only contained within a document labeled the “Transport Contract” (“TC”). The TC does not qualify as a NVOCC Service Arrangement (“NSA”) since it does not have the terms required under the regulations, such as identification of the commodities, the minimum volumes, the service commitments, the line-haul rate or liquidated damages. 46 CFR §531.6(a) (*See Decl. of G. Kardian ¶ 5*). The document does not qualify as an NVOCC Rate Arrangement (“NRA”) under 46 CFR §532.5 since it does not “clearly specify the rate and terms, as well as the shipment or shipments to which such rate will apply.” 46 CFR §531.6(d)(1) (*See Decl. of G. Kardian ¶ 6*).

The document similarly does not constitute a binding contract because it does not contain such essential terms as price or volume. Consequently, lacking essential elements, the TC is void. *See e.g. Golden Pisces, Inc. v. Fred Wahl Marine Constr.*, 495 F.3d 1078, 1081 (9th Cir. 2007): “Without mutual assent, the parties' written contract was therefore void.”; *See also* Restatement 2d of Contracts, §7, Comment a: “‘Void contracts.’ A promise for breach of which the law neither gives a remedy nor otherwise recognizes a duty of performance by the promisor is often called a void contract. Under § 1[Definition of contract], however, such a promise is not a contract at all; it is the ‘promise’ or ‘agreement’ that is void of legal effect. If the term ‘contract’ were defined to refer to the acts of the parties without regard to their legal effect, a contract could without inconsistency be referred to as ‘void.’”

The Initial Decision does not contend that the TC was enforceable, just that it was an “agreement.” (Initial Decision p. 31.) In doing so, the Initial Decision points to paragraph 8 of Unifelix’s answer, which admits that Unifelix entered into a “service contract” with Way. (Id.) However, Unifelix’s answer did not address whether the “Transport Contract” was a *binding* contract, nor whether it satisfied the legal requirements of an NSA or NRA. (Unifelix Answer, ¶8.)

Nonetheless, the Initial Decision implies that this admission somehow elevates the TC into a binding NRA, NSA or contract despite it being legally insufficient to satisfy the requirements for any of those instruments. (Initial Decision p. 31) However, while admissions of fact may be binding against a party (*See e.g.* FRCP 36(a)(1)(A) allowing requests for admission as to “facts, the application of law to fact, or opinions about either”), admissions as to legal issues are not binding since those determinations are left to the purview of the Commission.

Because Unifelix’s admission that it entered into a “service contract” does not constitute an admission that the TC is binding, and since an admission of fact cannot turn an unenforceable document into an enforceable NSA, NRA and/or contract, there is insufficient basis for concluding that the TC was a binding obligation on the parties. Therefore, its terms could not require Unifelix to arrange and advance the costs for trucking and/or to wait seven days after delivery prior to demanding payment from Way.

The Initial Decision also concludes that the lack of enforceability of the TC is irrelevant because this action is not for breach of contract (which would be outside

the Commission’s jurisdiction), and the TC did not need to be an NSA or NRA to be an “agreement” for the purpose of a Shipping Act violation. (Id.) Instead, the TC just needed to provide “guidance regarding the parties’ expectations” with which to evaluate the reasonableness of the parties’ actions. (Id.) No authority is provided to support the conclusion that a nonbinding agreement qualifies for the ‘agreement’ element for a claim for breach of the Shipping Act, nor that an “expectation” of the parties establishes what would qualify as ‘reasonable’ under the Shipping Act.

Similarly, the Initial Decision also points to Unifelix’s representative’s communications indicating that Unifelix was no longer going to arrange and advance the costs for door delivery to imply that Unifelix must have had some legal obligation to deliver to Way’s door. (Id.) However, a party’s misunderstanding of the legality an agreement does not transform an unenforceable agreement to agree into an NSA, NRA or enforceable contract.

While it may be true that the parties’ initial expectations were to have door delivery and delayed payment terms, the question is whether breaching the parties’ legally unsupported expectations can constitute a breach of the Shipping Act. It would be unreasonable to subject Unifelix to statutory liability for violating those subjective expectations without also breaching some underlying legal obligation.

The enforceability of these payment and delivery terms is critical to Way’s case in that they are the only terms of their agreement that were allegedly improperly changed by Unifelix after the transport had begun, and those purported changes are

one of the Shipping Act violations that gives rise to the Commission's jurisdiction over this claim.

2. The Initial Decision improperly considers the refusal to adhere to the Delivery and Payment Terms of the TC to constitute breaches of the Shipping Act.

Unifelix does not contend that there were no agreements or obligations as to these shipments, just that the only binding transportation agreements for these shipments were the Unifelix house bills of lading, and that those bills of lading did not require door delivery and did not specify that payments were to be made seven days after delivery. (See CX 135, 270, 340, 402, 670, 513, 553, 778, 898, 978 and 1390.) Those terms were not breached, and, therefore, the delivery at the railyard and demand for payment prior to delivery were legal and proper.

Despite the legality of its actions, the Initial Decision repeatedly cites the TC's nonbinding Delivery and Payment Terms to establish what constitutes reasonable behavior between the parties, and therefore a failure to adhere to those terms constituted a breach of the Shipping Act. That interpretation is inconsistent with the rights and obligations of the parties. (Also, as discussed below, the reasonableness of Unifelix's actions should also be considered in conjunction with Unifelix's financial stress and how that stress was caused by Way's failure to make payment in a reasonable amount of time.)

For example, the Initial Decision concluded that Unifelix's breaches of the Shipping Act were performed on a 'normal, customary and continuous basis because Unifelix had "...repeatedly asserted that it could, and had, unilaterally changed the terms of the parties' agreement." (Initial Decision. p. 34.) In that the only binding agreement between the parties consist of the terms of the bills of lading, Unifelix's reasonable decision to adhere to the terms of those bills was its only logical conclusion considering the financial strain caused by Way's delays in payment. Further, the decision was a singular decision that was only made after Way's failure to pay in a reasonable amount of time, which placed Unifelix into an impossible financial position. This was not a series of decisions made on a continuous basis.

The Initial Decision also concluded that the variance from the terms of the TC constituted a refusal to deal under Section 41104(a)(10), in that Unifelix "had an obligation to provide trucking services and it refused to do so for these 20 Containers." (Initial Decision. p. 40.). The Initial Decision deemed that failure to adhere to the Delivery Terms to be a refusal to deal that constituted a violation of the Shipping Act. (Id.) (As discussed below, the Initial Decision also does not consider Way's failure to make payment in a reasonable amount of time or Unifelix's financial stress as relevant factors when coming to this conclusion.)

Similarly, the Initial Decision concluded that Unifelix's failure to arrange for the trucking on the 20 containers as required under a nonbinding document was a factor in awarding additional damages: "...one day after receiving a payment of \$746,617, Shenzhen Unifelix reneged on its commitment to providing trucking..."

(Initial Decision. p. 46.) Concluding that Unifelix's arranging the trucking to be a "commitment" in that context is particularly concerning in that this was a factor that contributed to the decision to double the damages awarded against Unifelix.

3. The Initial Decision failed to properly weigh the evidence as to the reasonableness of Unifelix's actions

To properly evaluate the reasonableness of Unifelix's actions those actions must be considered within the context of the facts that the parties were faced with at the time of the shipments. During that time, Unifelix did not receive payment until up to 50 days after the delivery of some of the prior 43 containers. Unifelix had to advance well over seven hundred thousand dollars in freight costs, and it was faced with advancing similar amounts of costs for the subject containers. This was a crippling amount of expenses for a company the size of Unifelix. This fact was communicated contemporaneously to Way at the time (See CX 5-11, 30, 49-50), and confirmed in the declaration of R. Huang after the fact. (See Decl. of R. Huang ¶¶ 8-10.)

For example, during the time of the shipments, emails from Unifelix were consistently pointing out that the delay in payments were causing it significant problems. As one example of Unifelix's many requests for payment, on June 14, 2022, Unifelix's email made it clear that prompt payment was necessary to keep the cargo flowing:

“Our boss is under great financial pressure. ... Looking for a truck driver, we have to pay the truck driver’s freight immediately. They will help us deliver the goods. They will help us deliver the goods, so only if you can pay on time, can our company have the funds to arrange the next step as soon as possible. ... Next, many containers will arrive at the port. I hope you can pay the freight of the containers as soon as possible according to the terms of the contract. I also appreciate your help. thank you very much.” (CX 6-7, emphasis added.)

On July 20th, over a month later, no payment had been received and another email was sent with similar warnings about Unifelix’s ability to function without payment:

...The total overdue amount is USD 746,617. The container with the longest overdue days have been reached 29 day! Your company has seriously breached the contract. Please pay as soon as possible according to the contract. **Paying the freight of the delivered containers is the premise for us to continue to solve the problem...**” (CX 49, emphasis added.)

Two days later, another email was sent with similar warnings and an explanation as to why Unifelix would no longer be able to arrange truck transportation. (CX 44-45.) In other words, Unifelix had been transparent as to its financial straits, but that had little impact on Way’s willingness and/or ability to pay.

Way had excused its failure to pay on an unsupported claim that Unifelix's documentation to support the invoices were somehow insufficient. However, payment by Way was eventually made without Way pointing to any specific problems with Unifelix's documentation. (See Decl. of R. Huang, ¶18.) Thus, it appeared that Way just needed more time to pay, so it created the excuse of conducting a lengthy "audit" of Unifelix's documentation.

Although the Initial Decision does acknowledge that Unifelix had complained regarding Way's failure to timely pay, it did not consider these financial concerns when evaluating whether Unifelix's actions were reasonable when it decided that it could no longer front the costs of the truck transport or wait an unspecified period of time before receiving reimbursement for freight charges. This decision was especially reasonable considering the likelihood that Way would take another two months to reimburse those additional charges, or in requiring that Way cover the demurrage charges prior to releasing cargo. Unifelix's actions did not take place in a vacuum, and Unifelix did not have unlimited funds. Consequently, Unifelix's perilous circumstances and Way's past delays in payment should be taken into account when evaluating the reasonableness of Unifelix's actions.

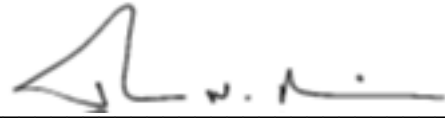
IV. CONCLUSION

For all of the foregoing reasons, Shenzhen Unifelix SCM Limited, respectfully seeks the FMC to review the Initial Decision *de novo* and adjust the damages awarded pursuant to the record and law.

Dated this 10th day of June 2024

Respectfully submitted,

By:



Theodore H. Adkinson
ROBERTS & KEHAGIARAS LLP
100 W. Broadway, Suite 660
Long Beach, CA 90802
Attorneys for Respondent
Shenzhen Unifelix SCM Limited

CERTIFICATE OF SERVICE

I hereby certify that on the 10th day of June 2024, I served the foregoing **RESPONDENT SHENZHEN UNIFELIX SCM LIMITED'S EXCEPTIONS TO THE INITIAL DECISION** on the parties listed below by electronic mail.

Lyndsey C. Brock III, Esq.
lindsey@lindseybrocklaw.com
MCLEOD BROCK LAW, PLLC
9995 Gate Parkway North, Ste. 400
Jacksonville, Florida 84117
Office:(904) 996-1100
Fax: (904) 996-1120
Attorney for Complainant, Way Interglobal Network, LLC

By:



Employee of ROBERTS & KEHAGIARAS
LLP